GROWTH WITHOUT YOU (Guest: Paul Krake)

Podcast: Market huddle

AI Executive Summary

This transcript features a deep-dive discussion between two market analysts (Patrick and Kev) regarding current trends across equities, energy, precious metals, and soft commodities. The overall sentiment is one of **cautious rotation** in equities and **searching for bottoms/reversals** in various commodity sectors.

Below is a structured summary of the key themes discussed:

1. Equities & Sector Rotation

The speakers discuss a potential "meat grinder" scenario where the market moves sideways through the summer, potentially leading to a more significant shift in September or October.

- **Semiconductors (The Warning Sign):** The analysts point to the **Kospi** (South Korean index) as an early indicator of distress, noting it is in "full distribution mode" and 30% off its highs. There is concern that the semiconductor sector (SMH) is breaking below its 50-day moving average, which could signal the start of a sell cycle for chips.
- **The "Mag 7" Rotation:** To prevent a total market collapse in the S&P 500, money is rotating out of semiconductors and into other "mega-cap" names (like Apple) and hyperscalers. As long as these heavyweights hold up, they can offset the decline in tech/semis.
- **Sector Strengths:**
    - **Financials:** Banks (JP Morgan, Bank of America) have shown resilience and are hitting highs following earnings.
    - **Healthcare/Biotech:** Seeing significant bullish advances and breakouts.
    - **Industrials:** Showing signs of strength, breaking to 52-week highs.
- **Risks:** The primary fear is if the "Mag 7" also start to sell off, leaving no "bids" left in the market to support the S&P 500. They also noted **IBM's** recent massive pre-announcement drop as a warning for the broader periphery of the tech sector.

2. Energy (Crude Oil)

The outlook on oil is cautiously bullish with significant upside potential, though the immediate trend is uncertain.

- **Price Levels:** While they don't expect a crash to \$68–\$70, they believe oil could retrace significantly toward the \$90–\$100 range.
- **The SPR Factor:** A major driver is the depletion of the Strategic Petroleum Reserve (SPR). The unexpected emptying of these reserves caught the market off guard; as they need refilling, it could drive prices up.
- **Speculator Positioning:** Large speculators have been "washed out" (net positions are very low), meaning there is massive room for them to rebuild long positions, which could fuel a rally.
- **Crack Spreads:** High margins in gasoline and diesel suggest that the underlying demand/supply dynamics remain tight, supporting an upside bias.

3. Precious Metals (Gold & Silver)

The sentiment toward precious metals is currently bearish or "ugly," characterized by distribution and supply pressure.

- **Gold:** The chart shows a period of heavy selling every time a rally attempts to form. They are watching for a potential 50% retracement of the recent bull run (toward the \$3,600 level).
- **Macro Headwinds:** Rising real yields and a strong US Dollar are currently acting as major headwinds for gold.
- **The "Whoosh" Theory:** The analysts suggest that a liquidity crunch might cause Gold to drop first, followed by the S&P 500. Once the Fed eventually pivots to a more dovish stance, Gold would likely be the first to rebound.
- **Silver:** Expected to be much more volatile than gold, with potential for sharp "trips" into the \$40 range.

4. Soft Commodities & Agriculture

This sector shows signs of divergent, yet potentially bullish, opportunities.

- **Wheat/Grains:** After a three-year decline, wheat is attempting a breakout to 52-week highs. Given its relatively cheap valuation on an inflation-adjusted basis, weather or fertilizer supply issues could trigger a significant move upward.
- **Coffee & Cocoa:**
  - **Coffee** has exited its bear market phase due to El Niño and Brazilian crop reports, though speculators haven't fully moved back into long positions yet.
  - **Cocoa** is in a "completely washed out" state. After a massive decline, the market is at multi-year lows of positioning, suggesting a potential for a violent reversal (squeeze) if demand stabilizes.
- **Orange Juice (OJ):** The charts look "like death," but interestingly, the positioning remains high. This divergence suggests either further downside or a potential volatility event.

Summary Table of Market Sentiment

Asset Class	Short-Term Sentiment	Key Driver/Watch Item
Semiconductors	Bearish / Warning	Breaking 50-day moving average; Kospi weakness.
S&P 500 (Mag 7)	Neutral / Rotating	Rotation from chips into Apple/Hyperscalers.
Crude Oil	Bullish Bias	SPR depletion and rebuilding of long positions.
Gold	Bearish / Distribution	Real yields, USD strength, and potential retracement.
Wheat/Grains	Bullish Breakout	Cheap valuations; weather/fertilizer risks.
Cocoa	Highly Volatile	"Washed out" market ripe for a reversal.

Full Transcript

Hit it. It's Friday, July 17th, 2026, episode 296. I'm Patrick Serezna. And I'm Kevin Muir. Then our favorite technical analyst is in a camper van in Italy. So it's a special from the campsite edition of Talking Charts. All right, give us the disclaimer and let's get this interview.

Nothing in the podcast should be viewed as investment advice. Listeners should consult an investment professional before making any decisions regarding topics mentioned in this show. Side effects of too much huddle may include the Semiconductor Earnings Rejection Syndrome, the Cosby Capitulation Complex, and finally the Hormuz Inflation Relapse. Nobody wants to suffer from those side effects, buddy. No, they don't. All right, let's get in the room. It's my great pleasure to welcome back to the show an old friend. Paul Craig author of view from the peak and the brand new released book growth without you how AI rewires work wealth and investing Paul. Thanks for taking time for us today. Okay. Thank you very much, but I really really appreciate it. It's great. Great to be back. Um, hope can't hope you're surviving the wildfires and all the stuff is your, your way. I feel like I'm on, on, on Mars, like, you know, the scene with the, with the the orange sky and stuff like that's what it feels like in Toronto these days. Toronto is in the blade run in the blade runner. That's a better one. And by the way, you know, how are you? I know you're you're Australian by birth, but you you identify as, you know, in English, don't you? Like you were a long time in England.

Good question. I've just moved to London, and my better half is from Texas originally, but she's now a British citizen, so she's probably more British than I am. But I think everyone was English. If you lived here, everyone was English for the World Cup. And everyone is barricading for Spain in the final. That's what I do know for certain. Okay. So let's talk about your book. Um, and by the way, it's absolutely terrific read it. Everyone should go grab it. It's on Kindle. It's I don't know in Canada. It's like 10 bucks. Um, it's absolutely beautiful. By the way, I was going to, you know, commend you for the charts. I think I'm going to be grabbing and reposting some of those charts because they were so well done. Um, And for those who don't know, Paul is his background. He's been on the show numerous times. You're, you know, hedge fund slash newsletter writer. But one of the distinguishing, you know, aspects of you is you being bullish on AI and specifically tech for a long, long time. And it's, you're not one of these just grab hold of the last year and stuff like that. You were truly As long as I know you, you've been banging the drum on Meg 7 and why they were going to change the world and you've been spot on correct. So you are, I just want to commend you for that call. And not only that, there you have some nuance in it because it's not like you're just always, you know, just stupidly bullish like Dan Ives. You do have times where you're like, oh, this is getting a little expensive and you are a trader at heart. But one of the things that you've done is you've gone out and written this book.

Uh, and it's specifically about AI and how it's going to change the world. One of the things I love about it is that it's not just about, you know, the tech or it's not just about the markets. It's the, it's the whole macro picture. And I thought we'd jump in here because early on in the book, you, you, I'm going to read here what you said. The right frame for what is coming out is one that Bill Gates set out in 1996 long before AI was a credible commercial product in the road ahead He wrote the people and I love this quote. He says people always overestimate the change that will occur in the next two years and underestimate the change that will occur in the next 10 and Warned against being lulled into inaction by the first half of that observation So why don't you, with that in mind, why don't you kind of sketch out how you see AI and what the mistakes might be that people are making when they're thinking about AI over the next two and 10 years? So, Kevin, I think the point actually you brought up and we talked a little bit about before we press play here was talking about the whole notion of it's different this time, right? And so we as traders and investors have had it beaten into us by our superiors for decades that it's never different. And I have sort of a classically trained macro background, right? Where top down was everything, policy was everything. You know, having started, you know, a lot of my career during the Asian Asian crisis that, you know, everything was macro, macro, macro. And the longer I did this, the longer I started to question whether that was true or not.

And the idea basically stems back to the London bombing in 2004, I think it was, 2003, 2004. And having lived through 9-11 and seen what that happened there, you have this terrible terrorist attack in London that day. And I looked at the end of the day, I was living in New York at the time and around lunchtime, I looked at the close of the footsie and the footsie was up on the day. And you go, how the heck is that possible? And you started looking at different geopolitical events as they started to occur and they just didn't matter to markets over time. And I started just to think why. And good friend of mine who's a macro PM said to me back in 2011, he says, you have to think about it through this lens. Does what's happened in London stop a fund manager in St. Louis from buying Google?

And it's a really telling thing that makes you think that earnings for an equity perspective is the only thing that matters, right? So I started to look at macro in terms of why the things that we take as a given don't work in the real world. Why does the Phillips curve not work? Shortage of labor, prices go up in play, Phillips curve doesn't work. Why does printing money for years, not work. I started my career looking at Japan, and Japan's been printing money for the last 35 odd years. Never had an inflation in Japan. And why was that? Well, people always make excuses for Japan around demographics. And in Europe, it was about the EU in 2011 when they printed money over Greece and all this sort of stuff. And the US was about the great stagnation. And we keep making excuses for these things that we think are given versus challenging the underlying principle themselves.

And so we talk about cyclicality a lot and about economic cycles and all the models that we build on portfolio management revolve around a cyclical world. And yet since we haven't had an organic recession in the United States, excluding COVID, what's concluded COVID was an exogenous shock, right? We haven't had an organic business cycle recession in the US in 17 years. outside of COVID you haven't had one in 30 years in the Netherlands or Australia. So how can you say that the world is cyclical if we don't have recessions? Now the book goes into whether it's policy driven and printing money and government intervention, all this sort of stuff. And there's a slew of studies that say that at best that's ambiguous to whether it affects things. And for me, the best example of this is that T-Roe Price back in 2015 looked at the looked at corporate margins in the US and they went from 1% in 1975 to 8% in in 2015 and then close to 15% today right and ran the numbers on what drove that margin expansion and only 130 basis points right and that's 130 basis points from 15% under Volcker down to zero in 2020, well, at the time, basically zero in 2015. Only 130 basis points of the increase in margin could be attributed to lower interest rates and lower taxes. Okay. Everything else was innovation. So it drew me and that's the standardization of container ships back in the 70s.

globalization enterprise software cloud computing the internet mobile all these things add up and up and up and you're getting these great margin expansion stories so I started looking at this and I drew the conclusion which again is a loose conclusion but this is what I drew is that maybe economic cycles were nothing more than technology problems waiting to get solved and as company if you think that if you think the US economy or any economy is nothing more than hundreds of millions of consumers, hundreds of thousands of companies, and probably too much government, right? The consumer and the corporate side of things for the last 50 years has done nothing but get better information, become more efficient, make things cheaper, make things, you know, inventories have collapsed, inventories have collapsed, margins have improved, every part of the process of making stuff has gotten easier and more efficient over time.

And so if you look at a chart of economic volatility, say the deviation of GDP, right? And inventory to sales ratios, days of inventory ratios, if you look at the inverse of profit margins, right? They all go in the same direction simultaneously, which says to me that as Come as technology has improved companies and if it has good and there's things have gotten more efficient and economic frictions being taken out of the equation, right? The GDP volatility has gone down and the actual rate of GDP is actually full because your boom busts don't exist And so yeah, sorry Well, I just you know, I wanted to jump in here because in your book you actually quote Jeremy Grantham, and this is something that I quote that is near and dear to my heart. And I would love to hear your explanation of it. And Jeremy Grantham says profit margins are probably the most mean reverting series in finance. And if profit margins do not mean revert, then something has gone badly wrong with capitalism. So you could have your argument that technology is making the world more efficient.

But yet it doesn't explain why we're not getting competition down and we're getting why profits continue to be a larger and larger role because let's say for example in China where they actually have more competition They they compete away profits and we aren't competing away profits the same way Exactly. So what so what you had is when you had a recession every three to four every four to five years, right? You'd have these boom bus cycles And what happened, traditional cycle is, invest, invest, invest, overinvest, inflation, Fed raises rates, but growth starts to stall, overinvested, over-leverage, companies go bankrupt, companies go bankrupt, Fed gets its repeat cycle. As you and I have talked about many, many times, I think the overriding theme of the last 25 years, predominantly in the United States, but less extent Europe, is the absence of bankruptcies of major companies. They just aren't allowed to go, they don't go bankrupt for organic reasons. And by the way, if you're strategically important and there's ever a problem like Silicon Valley Bank or anything like that, regardless of the economic condition, Fed's gonna throw hundreds of billions of dollars at the problem to prevent those bankruptcies. So previously what you had, you had opportunities for companies who had new technologies and new innovations to go in and fill the gaps.

of those companies that went under. And you always had rotation of sectors and all this sort of stuff through that time. But what you've seen particularly since 2008 is that large companies have just gotten larger and larger and larger. And what that enables them to do is to dominate the CAPEX spend and the innovation spend that keeps them in there prevailing in most the US case. oligopolistic and monopolistic positions, right? Because there's no more monopolistic economy than the United States. China is so much more competitive than the US is. Europe is so much more competitive than the US is, right? Because you have dominance in healthcare, groceries, airlines, cars, you know, biotech. Banking is dominated by the top 10 banks. You know, social media is an oligopoly.

YouTube is effectively a monopoly in itself. And so these companies don't get stressed. And so if you have very lax anti-competition laws, which you do in the United States, it means that Google and Meta, so Meta can go off and buy Instagram for a billion dollars or buy what's at the 20 billion dollars, which probably wouldn't have been allowed to happen in Europe.

And by doing so, they stifle competition. So Snap is a great example of a company that should have been able to compete with Meta and TikTok and the like, but couldn't because it was basically crushed by Meta's competition. And so if you are preventing company, if the bigger are just getting bigger and bigger and bigger, and the reality is that the US is a very under-regulated market versus everything else, particularly in tech.

right, which is where obviously we are AI is heading right this is where it's it's the dominant thing. So you've got these companies that are getting bigger and bigger and bigger and so and if you combine that with the lack of cyclicality that's stemming from the fact we just don't have boom bus cycles like we used to right it means the the entrenched stay more entrenched. Okay and so Given that, let's talk specifically about AI and how it's going to change the world, because I think if I'm correct that you're actually, although you're an AI bull and you foresee lots of change, it's not going to be painless. No, I'm far from it. I'm far from it. So if I'm right and that innovation has been the driver that has reduced economic volatility and prevented boom bus cycles, Well, by the way, that's been done by the removal of economic friction from companies, right? Okay. The last layer of economic friction that exists for companies is human cognition, right? It's decision making. So if you can replace expensive human cognition with cheaper artificial cognition or cognition as a service, what you've done is for most companies, reduced that last layer of friction to an automated process. Now, let me be clear, we are nowhere near that yet, right? We're targeting, we can target the bottom 10% of workers now. AI is a great tool for folks like us to utilize and be more productive and all this sort of stuff, but we're not at the unemployment stage yet, right? So it's the great age for AI right now because you and I and everyone listening to this podcast, hugely can become hugely productive in the next five years. And it's a great, I'll get into the sort of marketing emphasis in a minute. But the, at the end of the day, if you, if you believe technology reduces economic volatility, which I think, I think we can say we found enough evidence that it does that if you, if this, if this tool, as it gets better and better and better, which I believe it will, right, it will remove more economic friction from the, from the equation.

make companies hugely more profitable because it targets the biggest expense for most companies which is human cognition. And that's where the whole thing starts to feed on itself into what I call, eventually, a post-cyclical world. As you were saying that about the fact that you believe that technology is the reason that boom and bicycles are gone, I was thinking about how many economists might be listening that will be very offended by that remark. because some might argue that they're doing a better job managing the economy. I take it you probably don't agree with that. Why don't you explain why you don't think it's a better management of the economy through the economists as opposed to technology? Right. So, you know, a couple of things. One is if you look at a slew of studies on the impacts of QE and fiscal expansion, There's no relationship between the size of government and the rate of economic volatility, right? So Germany for historically outside of the last 15 years, historically ran a larger sort of social surplus in terms of handouts and the like to its citizens than the US ever did. And German volatility was more, you would expect if that was dampening, if that would dampen.

volatility, then Germany should have a less volatile economy. It didn't. Right. And, and France didn't and Italy didn't and the like. So there's no, there's no academic evidence. Right. There's no, there's no statistical evidence. It says that spending reduces economic volatility. We've all seen the studies on QE. Yes, it affected asset prices, but there's no real impact. Yeah. Again, the counterfactual argument. Well, How bad would growth have been if we didn't do QE? Well, you can never argue against that, right? But there's not a lot of evidence outside of the wealth effect and jacking up asset prices and bringing down bond yields that QE actually had that much impact on stabilizing growth. Because growth was actually, volatility was actually declining. Economic volatility was actually declining prior to 08, right? Prior to the need for QE and the...

the 10 odd years of QE that we had in the US and obviously the same in Europe as well. I'm just thinking through this argument, then during other periods of innovation, was there less economic volatility? Because kind of like when you think about it just quickly, I would have argued that it would be the opposite, the more innovation, the more economic volatility that you get. Well, because economic volatility, sorry, because innovation takes so long to be deployed. And this is all the arguments about there's no ROI in AI. Well, there's no ROI four years into the internet either. And electricity had terrible ROIs back in the first four years because you didn't know what to do with it. And there was all this trial and error and stuff. And so it takes a long time for major innovations.

And we've got to be careful about how we define a major innovation. So Robert Gordon, the guru himself, Northwestern economics professor, the guy who knows more about productivity than you and I will know about anything, wrote the Bible called the rise and fall of American growth. And it's the history of productivity in the US. It's a 900 page book that would bore the shit out of most people and you and I would love it. I think you should speak for yourself there, buddy. I think it's the best. There's sections in this talking about the standardization of nails that allowed the condo boom in Chicago in the 1920s. Really? Oh yeah, it's amazing. But Gordon talks about the special century. The special century was 1870 to 1970. He talks about particularly the period 1870 to 1940 as the greatest innovation the world's ever seen and frankly iphone's internet computerization has got nothing on electricity yeah on flight on combustion engines on like indoor plumbing indoor indoor plumbing raised life expectancies by about 10 years over about a 40 year period just because of sanitation refrigeration refrigeration being able to transport meat and keep meat fresh or transport fruit from California to Chicago and stuff like that. So these innovations were just incredible, right? But they did take time to flow through. And so there were fits and starts of productivity. So productivity in 1910 was sub 1% during, you know, as Roosevelt was in power and the like, but by mid 1920s, it got to five and a half, right? And that's after 15 years.

of automobiles, manufacturing boom, you know, agriculture just started to decline in the start of the 20s really. But it does, it takes time. And so you do have a dampening of volatility, but in those periods. But you still had more boom bus cycles, even though recession became less frequent over time. Okay, I got it. So your city here and you foresee this. productivity that we've been experiencing for the past couple of decades as technology has become more prevalent to only increase. Why don't you highlight what the negatives are about that in terms of how society is constructed and what that might mean for how our economy evolves from here? Got it. So what we need to be very careful about, and I do it all the time.

And so and everybody does it is to equate the word productivity with innovation. So productivity has got a couple of definitions, right? So in an economic sense and like in a GDP sense, right? What is product? What is GDP? GDP is how many workers you've got? How many hours they work and how productive they are, right? And so when you when you deploy electricity, right, you can make a lot you as an individual. can make a lot more things. So you go from using a hand. So you're making clothes. So you're so close by hand, you can make x shirts now. You have an electric sewing machine. You can make 10 x per hour, right? You make more stuff, right? Robert Gordon would argue, and the book argues that the innovation that we saw with computerization, enterprise software, globalization, all that sort of stuff made things cheaper.

One side of the equation is revenue for companies. Okay. The other side of the equation is less cost. AI is less cost. Now we can talk about different industries popping up and all this sort of thing, but the conclusion I make in the book Jumping Foot right to the end is AI is a long term as a growth killer, right? at putting data center rollouts and all that sort of stuff to one side, because you make things so much more, it's all about cost. Why was there not a lot of productivity growth between 1980, a little bit between 95 and 2004, but literally between 1980 and 2010, we had pretty shitty productivity globally, right? Robert Solo once said that computerization is everywhere except in the productivity statistics, right? And the reason is that this is that lot of innovation like cloud enterprise software, cloud, all this stuff targets cost, right? It doesn't target growth. So good, good example, that is encyclopedia Britannica, right? We used to have we had the mum still, mum still got our 1980s encyclopedia Britannica. Right. Okay. And we paid 800 for encyclopedia Britannica, which in 1982 was a lot of money. Yeah. And so But it's our encyclopedia Tanica was a 250 million dollar business and then it went to zero because suddenly you had encyclopedia Britannica online, which was Wikipedia, right? Yeah, a Wikipedia isn't as a contribution to growth is effectively zero because you mean how growth as we define it as we define it right, right? Okay, so if you if the world goes overnight from encyclopedia Britannica at 250 million dollars to Wikipedia at zero That's a hit to GDP now because you just don't measure this stuff correctly, right? And that's the that's the measurement issues, right? And so if you're if you if AI is targeting cost rather than growth, right? Where's the expansion of the economy coming from, right? Because think of the US economy like this. US economy is again, number of people, how many hours, how productive they are. Number of people, the labor pool in the US at best is going to be flat going forward.

bad demographics and poor immigration, they work the same number of hours, but can they make more with less? Potentially quite a bit more, but this is not an economy that's growing really fast because of AI. And then the second thing and the bigger problem about AI is that AI is cognition as a service. What do we know about labor? Cost of labor for the last 50 years has gone like that, because it's not just the cost of labor. It's healthcare, it's real estate, it's everything that goes into, it's the software, it's the seat, it's everything. Computer costs have gone like that. But what we've been able to do now is to overlay, as Gaz has said, it's not there yet, but we're getting there, right? You're overlaying this software on top of this, which is artificial cognition into this declining cost base, which means that you can replace over time expensive human cognition with cheap artificial cognition. And again, so let's say you're the finance department at Caterpillar. And in 1980, you had 250-odd people making up this number. Today, Caterpillar has about 80 people in finance in North America. And why? It's because it uses enterprise software. It probably has SAP and Salesforce and all this sort of stuff.

pride, which means it just the people who are there can do lots more than the 250 people could do back in with an abacus effect. Right. Okay. But what's going to happen is over time that number of 80 is going to go to 60 because that enterprise software, which will then embed AI, AI services into it. And this is why I'm so bullish on software companies, which is a little out of left field. Cause SAP pay an oracle and Salesforce and all these software has got to be embedded in these AI tools, which means you can take your finance department from 80 people to 60 people. And by doing that, you're saving 20 salaries, less the cost of this software, which you're already using anyway. Okay, I want to jump in here in terms of just this worry that we're going to get.

this decline in employment. And isn't this something that is experienced every single time we get new technology? And I think even in my lifetime, you know, I can't remember. I think it was Goldman Sachs or something. I remember at one point they had 200 equity sales traders. You know, I don't know that's throughout the world or in New York City. And then someone told me it's down to like, like, these are traders actually taking orders. And then through, you know, computerization of orders and things like that. It was down to like a handful. But it wasn't like Goldman Sachs has less employees. They're still growing. And there's just a whole bunch of people doing different things at Goldman Sachs. So one of the kind of questions I have to you is why does this one, this new technology, why is it different this time? Sure. So We went back and looked at every major innovation since 1870 and looked at the transition from one technology to another. The overriding theme in all of this, Kev, is that it's not that you had a new technology that destroyed an old technology. Manufacturing didn't wake up one day and just destroy agriculture. When agriculture was in decline, which again, so, manufacturing, let's call it the start of the Model T around 1910. From 1910 to 1920, manufacturing employment went up by about 12 million jobs. Over that time, agriculture was roughly flat. So two things. One is that the whole notion that people left the farm and went to the factory is complete rubbish because the manufacturing boom was funded all by by migrants coming off ships. So it was an immigration burden. One of the leading causes of the depression was the banning of basically immigration went from half a million people a year to 20,000 in 1926 because of anti-immigration laws. And basically manufacturing just stopped, just completely stopped, right? I had no idea.

Yeah. So it was one of the big things. I didn't know anything about that before I looked at this. That's kind of fascinating, isn't it? Yeah. Not the parallels at the moment, right? It's not like we look at anything like the 1920s with everything else, with the grift and the stock market boom, nothing at all like the 20s. Exactly. So the whole thing is that you had in place, the new technology was booming. prior to the old sectors going into decline. So when manufacturing took the hit in the 70s and 80s, services were already taking off. When the China shock hit, knowledge work was already already really booming. This time around, you haven't got that industry in place today to pick up the slack. So that's point number one.

Number two is that people have always had this one advantage over whether it's looms or whether it's steel mills or whatever, we can actually think. Robots in auto factories are amazing pieces of equipment. You move them two millimeters off kilter and they're done. So there's no ability to adapt on the fly, which people do really well. We're dexterous, we're mentally dexterous and we can You know, not only with our hands, our brains, we can do stuff on the fly. Right. The trouble with the trouble with if you can deploy cognition as a service is that last major skill set that people had, which was the ability to make a decision. Right. Suddenly is not a monopoly. It's suddenly competitive when you're competing with software to do that. Right. And so I went to dinner with a bunch of VCs here in London about a month ago.

And they were pushing back on this whole chump, you know, chumpeter, you know, create destruction thing is basically a law of nature. And, you know, we don't know what those industries are and all this sort of stuff. And I said, great. I get we don't know what they're giving. Give me an example of what an industry would be. And they turned around straight face and said, life coaches. And what I should have said, I'm going to coach each other. And I said, and I looked at what I should have said was, you know, yeah. Yeah, we're all going to have dating coaches, life coaches, you know, personal trainers, all this sort of stuff. That's not a median household, you know, service. It's a very rich person service, right? Yeah. And so, you know, we're at the, so why, why I believe we're eventually going to go to 10% unemployment in the US by 2035 is because I just don't see today why, why companies? Well, let me wear it like, let's say it's slightly different. Okay.

These same VCs who are having dinner dinner with right they get thousands of the thousands of pitch decks every every core every year whatever the numbers right thousands of people starting companies You know the one thing that doesn't exist in those pitch decks is how do I employ a thousand people? Oh, yeah Every new startup that is that is happening right so my my my my neighbor right Lewis is a year old had just got a quarter of a million dollars from a group called Antler, which is a pre-seed place, right? AI product that works in warehouses, right? Yeah. They are basically going to outsource every service that they've got. There's him and his business partner, who's the AI guru, right? Lewis is the CEO. They have nothing in their deck about people they're going to hire.

And if we are thinking that, you know, knowledge workers in the United States, you and I are knowledge workers, right? Knowledge workers in the United States make up 45% of the work. So about 75 million people. JP Morgan said in the event of a recession, when AI is taken off into 2032, you could lose 10% of knowledge workers. If you lost 10% of knowledge workers, they are permanently displaced. That gets you to 9% unemployment. And so could we have a world where we have 10% less lawyers, 10% less accountants, 10% less social media people, 10% less, less consultants easily, right? Now they could get rehired, other things over time, but you're competing for the first time. People don't have a monopoly over cognition and that's the competition. Okay, so let's talk about this environment where it's 10% unemployment. We We haven't had that in a long, long time. And it's been easy to fix, but it might not be so easy to fix this time, right? Because, you know, as the world is changing in more diverse ways and in different ways, how do you see this playing out? Like if we did get that spike in unemployment. So you don't have the luxury as a trader. You don't have the luxury to think 10 years forward, right?

When I'm being indulged in writing a book, I could talk shit about 10 years forward and I could pontificate. But if there's one thing we've learned about the markets, Paul, it's that kind of things that we think are way off in the future often kind of bite you and become quicker than anyone expects. That's the game target, right? So let's assume we don't have a crystal ball that works, but let's break the world up into two five-year blocks. So let's make it simple. Between now and 2030 and 2030. Between now and 2030, what you're going to have is the evolution of the of AI as a tool. And it's an evolution because there are a lot of bottlenecks within the infrastructure.

Right? We got to generate a lot of new power to fuel these things. The infrastructure is difficult. I mean, China is good at infrastructure, but not so good at models. We can talk a little bit about the models later. US is great at models, really bad at deploying energy at scale, predominantly because of state regulation and the like. So what you're going to have is these tools, as we've all seen in the last 12 months, they've just gotten exponentially better. But we haven't got to the phase yet where unemployment is starting to happen. So, Goldman thinks that around, we're losing about 20,000 jobs a month because of AIR. Now, these people are being picked up and that's why you haven't seen a dramatic increase in unemployment. But what I think, what my guess is, is a non-linear path. So, for the next two years, you might get two tenths or three tenths higher unemployment. So, by the end of 2028, you might be five and a half.

unemployment, maybe hitting a little higher than that. And then as the tools get better and better and better, you're going to go lose 0.4% a year, 0.5%, 0.6%. And suddenly, we're waking up and we're losing 80,000 jobs a month and it's close to a million jobs a year are being lost. And that's where the thing really starts to shoot up as the products get better, the adoption rates get more. get more broad. Again, so at the moment, we're probably targeting the bottom 10% of workers. Most big firms anyway, probably get rid of the bottom 10% every year anyway. So what they're doing is they're getting rid of the bottom 10% and not replacing them. That's a pretty big deal, Paul. We need every job we can get. I think even the threat of AI is causing companies to put their hands in their pockets and stop hiring. Oh, I think it's, I think it's a really great excuse because we're in this amazing productivity phase right now. Right. Yeah. We, um, you know, it's the rise of the 55 year old man, but I was, I was so buried. How did you know my age? Exactly. So I'm, uh, I, I was really super bearish on 55 year old dudes and I can say that because I'm one of them, right?

And like in 2021, 2022, banks weren't just not hiring guys of our age, right? Because generally speaking, they were too expensive. They were not as energetic as hiring 228 year olds. It was cheaper to hire 228 year olds. We were screwed, right? Suddenly then AI turns up and the old dudes know the questions to ask. We're good at asking the right questions. right? And so if I'm sitting there with my 19 year old and Angus is far better at this than I am, right? But I know if it's a finance related thing, I know what questions to ask. And so I can get around a little better than him because I've been doing this longer, right? Yeah, I'm the same way. I've been doing some programming with my son and he is like a computer engineer. In essence, he's way better than me. But when it comes to actually implementing that in the real world. I'm like, in terms of finance, I'm like, no, no, this is how this works. And you have to have that knowledge. Yeah. Right. And so, yeah. So I think that the, um, you know, so this pathway, it's going to be, you know, we'll just do it. We'll just, it's a lack of hiring right now. So the jolt state is really interesting, right? So Jolt's, Jolt's what at 3.2%. I think the Jolt's rate is currently the hiring rate.

That's back to where the US was in 2008, in terms of hiring intention, right? So hiring has collapsed and you've looked at any metric around college hiring is not as robust. Law graduates are struggling. These sort of classic knowledge workers are struggling to get jobs. And there's a global, wouldn't call it a hiring freeze per se, but people are being much more selective in who they are. and who they hire, what they hire for. Right. One of the things you mentioned there was the fact that like the rise of the 55 year old workers. And one of the things I think is interesting is that you're already seeing a lot of pushback in terms of AI. We had that situation where four different commencement speeches, you know, an old dude like us got up and tried to, you know, talk about how great it was, and they got booed off the stage.

Do the young people realize this like I guess they do realize this problem and you think that this will increasingly be Something that ushers in more animosity between the generations So I am doing a Talk at the Student Union of the London School of Economics in about in about two months time, right? Okay No, they don't know who I am right no one's read my book there. It's sold out. It's all that It's all because of the topic. It's not about me. It's got nothing to do with me. It's all about the topic. All about the topic. They saw that because it's a great block. Yeah. So I'll give you that, mate. I'll give it. This is this is what inspired me to write this sort of go down the path I did. So I took Angus's Angus's now. Well, he was, he was, he's now a sophomore at Northeastern University in Boston. Right. Okay. This is last December. Yeah. So last December, when he was a freshman, I went to went there and I took a bunch of his mates out for dinner.

And there was a third year student there, third year computer science. And he said to me, he said, Miss Craig, when I was, when I came to Northeast, everything was just awesome. And now I fear I'm unemployable. And you go, that's sort of part of the language. It's the last fucking thing you need to hear about from a 20 year old. It's really sad, right? And they get it. They understand this is coming. Right. And that's at a very good university, top 50, top 75 university in the country is Northeastern. But, you know, where do all these kids get absorbed into it? Right. If the, you know, so if you're a law graduate, for example, and you're, and your firm is using co-counsel, which is the Thompson Reuters product, right? Okay. It doesn't do, does it hallucinate?

Yeah, it does. But it's still it's still a good database. It's not like, you know, it's where these solution these hallucinations about fake court cases that happens. It's it's outside databases. And, you know, it's not not a closed database like Thompson wrote it. But effectively, it makes an error rate of about point two percent. Oh, wow. And so which is roughly the same error rates as what a first, second or third year associate would make. Right. Harvey, sorry, co-counsel costs about 20,000 a year per seat. versus 400,000 a year all in cost for an associate. And so law firms have never been more profitable, but they're scaling back on hiring of new legal grads because this generic stuff that these first, second, third year associates were doing can now be done by co-counseling Harvey on tools like this.

Okay. So I have so many things, but let's try to steer this a little more towards the markets for a little bit because one of the things I'm going to read this quote, you said, the United States leads in LLMs because the private sector was left alone to compete. It lags in the infrastructure required to scale those models because the public sector was ideologically prohibited from building it. Both outcomes traced directly to the same governing philosophy. Talk a little bit about how what made America so great made the win that and then what's holding us back in terms of the infrastructure and how it will resolve itself. So China great. Let me give a plug to a mate. I can't see it. So I've got a book behind me called Breakneck, which is a book by Dan Wang on basically on China, China and the US in terms of economic competition.

and what China does well and what China doesn't do well. China does big projects really well, does engineering really well, does software and innovation much, much less well. And so the reason the US has lagged, well, the reason China has done so well in these big engineering projects is because it can deploy the hundreds of billions of dollars of capital required to build out, whether it's whether it's um you know world's biggest the biggest world's biggest solar industry whether it's batteries whether it's nuclear whether it's all these things yeah it doesn't take eight to ten years to build a nuclear power plant right that's permitting right that's it's eight to ten years in a canada room in the united states in australia if you could do it in australia right um because it just people don't want this stuff in their backyards now the us is great at doing innovation if it doesn't cost a lot to do it, right? So you can develop software for millions of dollars or tens of millions of dollars because that's the sort of capital that's available from VCs and private equity and the like. So that's why the US has the world's best software companies because it has the capital scale to do this and the infrastructure to do this where, you know, it doesn't deploy.

hundreds of billions of dollars well because going back to the rate to Reagan era as Reagan thought the government got in the way and government getting out of the way is great for software and stuff that doesn't take a lot of money to produce. It's not great for airports or high speed rail or electricity in the right places or all these sorts of big scaled. scaled projects. So the last time the US did these big scaled projects, putting the sort of the moon landing to one side was the highway bill and suburbanization and all that sort of stuff, which was very much government funded. But then after Reagan, we stopped doing those big infrastructure projects. And therefore, that's why the US gets a C or a C plus from the American Association of Engineers on its infrastructure, its bridges are falling over and all that sort of.

So given how energy intensive AI is, isn't that going to limit US being able to continue to lead in this category? It's a real problem. It's a real problem. And so their company, the trouble is, and the trouble is not federal, the trouble is state, right? Because again, whether you're California, Pennsylvania, even Texas, which is a very easy place to do business, you still have restrictions on, you have a shitty grid in Texas, the grid needs to get rebuilt and who's going to pay for that and stuff like that. So you've got major bottlenecks and the irony is that my negative view on employment actually gets tempered because of the bottlenecks. If you can't produce the power, you can't train the models to be that advanced. If you can't trade the models to be that advanced, people don't lose their jobs at the same rate. So you want to talk about keeping employment high, well, just keep the bottlenecks. Make sure the transmission is... Or even the infrastructure build out to fix things like the grid will be a decade to do and it'll take a lot of jobs. All of that, two decades.

two decades, right? So you've got to double electricity production globally by 2050 to deal with not just AI, but whether it's electric vehicles, decarbonized, industrial processes, all these sorts of things. It's about 3 trillion a year we have to spend globally. Let's back up and look at the macro picture because one of the things that you're arguing is that we are going to see corporations continuing to take a larger and larger piece of the pie. They're going to become more profitable. And so this trend that we've experienced over the last few decades of labor making less and less and corporates making more and more is going to continue and might even accelerate. One of the problems with that is that we don't tax the corporations. And not only that, we're cutting taxes on corporation. So we have this situation where the government income statement is getting worse and worse as we innovate and as technology becomes more and more prevalent. How does that play out in your mind? Okay, so I have never been overly bearish historically on US fiscal sustainability. Yes, the US spends too much, but you know all the arguments being made about about rising risk premium and all this sort of stuff we've never really seen it in the US we've never really had a sustained period where people were yeah dollar sell off sure but you've never had a sustained period of rates spiking high because the US fear the US couldn't pay its bills right and certainly the US does have a spending problem undeniably so right but if you've got the labor share of GDP going like that and the capital share of GDP going like that, you can't have a tax base where 88% of the US tax revenue stems from payments from labor, right? From W2s, from W2s, FICA, all that stuff, right? And so what do we know about labor? Labor is inflexible, not mobile, not really litigious, right? So if I, let's say I pay I make 300,000 a year and I pay 100,000 in tax. There's not a lot I can do to get that 100,000 down that much. It might go to 80 if I'm lucky, right? But it's still going to be a pretty high number, particularly a high number if you live in New York, California or Illinois, right? I was going to laugh and say you're 300 and you're only the tax 100. You've been living in the States too long, buddy. Exactly. So the.

But corporates are about 9% of the taxpayers, right? And what do we know about corporates? They're flexible, litigious, mobile, and, you know, they can go from Illinois to Florida. They can do a Citadel and go from Illinois to Florida. They can do a, they could be a healthcare company and go from New York to Ireland, right? We know about companies, they're going to do everything in their power. Because by the way, as a shareholder responsibility to do this, right? Everything in their power to minimize their taxes, right? So what we need to, you know, I, I, I, this is not in the book, but I think it's a great, a great idea. Yeah. Just tax companies at the same rate as you tax people. Wow. That's a big difference. Right. But again, and we can even, let's, let's lower the top personal tax rate. Let's lower that number down. But let's make sure that companies, on their taxable income pay the right amount of tax. But isn't that going to be a function then of like all the like the Irish sandwich and all this stuff, right? Like the and then company countries start fighting for it. Like we almost as a global society have to agree that we the corporations need to be taxed more. We all are going to face the same problems. Okay. Well, I completely agree with you. The Irish are going to face the same disruption as everybody is everybody else.

Right. Right. So, you know, and again, this is not about more tax, right? This is just about spreading the pie. So for example, the US tax code currently encourages people to, encourages a company to fire its workers and replace them with software, actively encourages it. How does it do that? How does that do that? Right. So FICA is, so the FICA is about seven and a half percent. Right. So anyone who works for a company, the Fikre is about 15%. You as a worker pay seven and a half and the company pays seven and a half. You're on behalf of. So I'm sure I don't even know what Fikre is. All the payroll, social security, Medicare, all that stuff. Okay. Okay. Fair enough. So, um, so the company pays seven and a half percent on top of what the person pays, right? Right. Um, but let's say, let's say you can, you fire that person.

and replace that person with an algorithm. Okay. You don't pay the seven and a half thousand. Right. You don't pay the market. So we're at a state, we're at a stage now where it's more expensive for companies to hire people than it is to deploy software. And again, if you think companies are rational, right, the rational decision for a company to do, if and when the tools are equalized, You get the same amount of benefit out of a software as you do as a person. The logical, rational thing to do is to fire people and replace them with software. And so should we live in a society and have a government that, by the way, needs to pay for, we have to pay for unemployed, unemployable people need to be supported, right? So should we have a tax code that actively encourages people to be fired and replaced with software? Obviously not.

Yeah. One of the things you mentioned earlier was you said that you're actually bullish on software. Let's get, let's start talking a little, little shorter term. A lot of this stuff is long-term in nature, a little shorter term. Well, like you say you're bullish on software. Does, does that, you think this, the sell-off is overdone in, in the softwares? Okay. Our, our, our good, our good mate Rupert mentioned on the I've gone, we've had some sort of argy-bargy's about this much. So my thing, my thinking on this is very straightforward, right? Is that putting, putting valuation, all that stuff to one side, not the sell off to one side, right? The one thing that AI doesn't change, right? Is, and this is why I'm actually, we can talk about the valuation or sort of what are the LLMs worth, which I don't think is a lot, but anyway. But the software, the software provider, who owns the customer, right? At the end of the day, who, who owns the customer, right? And so if A role of, if one of the roles of AI is to enhance and make things cheaper, allowing Caterpillar to go from 80 people in finance to 60 people. Well, how do you do that? So you do that by SAP and their finance, their financial software adds AI tools into the mix.

you allow these current software offerings, whether it's Salesforce, whether it's around HR and HR, whether it's around finance, logistics, whatever, suddenly you deploy the AI tools into those pieces of software to make them more efficient over time. And so if you're anthropic, for example, you've got a choice and your choice is either A, get a nine figure annual agreement with SA with with SAP or Salesforce to deploy your tools to deploy your back end in these tools. Right. And maybe there's a governance layer. There's governance layers over the top and there's all these lots of bells and whistles. And by the way, that business is higher margin. You probably chat. You have to eventually inference costs have to go up. So you're covering some inference costs and that's a profitable business for enthropic or you turn around and go I'm going to compete with Salesforce and I'm going to make the next Salesforce. And how do I do that? Well, I have to hire a bunch of salespeople. I've got to compete with Salesforce. I've got to undercut Salesforce. And I go from a business that has unbelievably good margins to a business that has shitty margins. And I'm trying to compete with someone who, by the way, can then go to Mistral or Metta or some of the open source, open source LLMs and do it themselves.

Right. So the fact that they already have the customer is like customers are stickier as it has since your argument. What is the greatest? The only thing that is a bigger pain in the ass and cleaning your store than shutting down and cleaning a storage unit is changing your enterprise software. And so if you're, if you're, so if you're like, look, I was chatting to a friend who's, um, who's, uh, who's a chief technology officer of a small public company, right? If he was to deploy an the sales force, right? He thinks it's two and a half years of beta testing to get it across. Yeah. Yeah. And if it goes wrong, yeah, his job's a lot. By the way, I don't know if I've told you my theory, but I actually think AI is going to level the playing field for smaller businesses. And I'll tell you why I watched this, you know, PBS report or something and it was about AI. It was a small company with six or 10 employees and they did antiques. And, you know, it's a tiny little company and the guy had always wanted to have shipping, a website, you know, kind of inventory management thing. And when he had gone to go and try to get this stuff, it ended up costing him like 10 grand a month or something like that, which was onerous for him, right? He couldn't afford even the cheapest of the SAP type of products. Well, he grabs Claude, he's fairly entrepreneurial and he's smart enough to go and he programs up his own thing and he says normally that The reality is that this is even better than what I got from SAP because I can tailor it to myself. And so one of the things that I believe is that AI is actually most suited for the small nimble business that doesn't have two and a half years of getting something over the line and can quickly deploy and do the things. And so I look at it and say, all of a sudden, like, I almost wonder if Amazon is going to be at risk.

in terms of like the only reason I go to Amazon and buy it is because it's so easy. But if all of a sudden my neighborhood, whatever, you know, producer or store retailer has a good website and a good thing and, you know, puts it into Shopify, I'll go there just as easily. And so it's probably a great thing for so I haven't thought about this, but it's a great thing for Shopify and these aggregate these companies that can aggregate these small businesses, right? Yeah. But I think small business is where it really shines because to me, I talked to folks in the banking world and yeah, they're using it a little bit. But where the people that are using it the most are single small entrepreneurs like you and me, right? Where we can all of a sudden, we don't have some compliance guy telling us no, we can't do that governance. Yeah. All that sort of stuff. Okay. So that's just a very good point on that because that's the reason why the equity and a bit of a segue here, the equity markets about to change its dynamic and boom for the next five years, but it's not a mag seven boom. It's an everything else though. Okay. Yes. And this is something we spoke about before. Why don't you explain to us what, where you see the opportunities over the next five years because, you know, although you've been bullish on mag seven, you probably are as cautious as you've ever been right now.

Yeah, and we can talk a little bit about the Lucas Tree and how they've gone from having these massive free cash flow businesses to potentially negative free cash flow, what that should mean for valuation and the like. But at the end of the day, I think eventually we are going to transition from a world of AI providers to AI beneficiaries, right? And the AI, look, it doesn't mean you're short mag seven and all this sort of stuff, because if the adoption rates are going to be as high as what I think they will be in the next five years, then Amazon selling a lot of AWS is selling a lot of compute and Microsoft selling a lot of co-pilot and all that stuff, right? But what is the dream of every equity, young equity analyst, right? It's to find a company that's going to go from 4% margins to 8% margins, right? That's what they dream about. All right, amongst other things. And so this is these tools are going to be adopted globally in a pretty ubiquitous simultaneous sort of way. So if you're a Brazilian retailer or a German manufacturing company or a Japanese industrial, your ability to cut costs and make things cheaper and take your HR department down by 25% or logistics down by 25% or...

This antique company can source from multiple other providers cheaply and the like. All of that adds margin over time, right? And you can, again, that's why you can go off and do more with, you know, you need less people to do the same amount of stuff, which actually is a GDP productivity, sorry, it's a productivity, high productivity may not net off to be more growth, right? But at the end of the day, your margin improvements, you could see companies, particularly US small and mid cap, European mid cap, emerging market companies, they all benefit from this as well, add 25, 50, 75 basis points a year in margin for five, six, seven years. And you don't need a lot of revenue growth on top of that for those companies to be two, three and four baggers over that time.

And so this is owning German equity. This is owning French equity. This is owning, well, Korea, who the heck knows what's going on there? But things like Singapore and Brazil and places like that. And so the world's going from the AI narrative being dominated by a couple of hundred companies globally, about that, to a world where thousands and thousands and thousands and tens of thousands of public and private companies benefit from these tools. What do folks say to you when you present this argument? Because at first blush, you know, you're... You've made AI and technology kind of your focus. You're extremely knowledgeable about it. And you're actually very much believe it's going to change the world. And then everyone else is buying what's on page one, the semiconductors, the memories. And you're saying, no, no, forget about those. You actually want to own these other things that are actually quite boring and have nothing to do with AI.

And I happen to love the trade. I think it's a terrific idea. There's other reasons why I could also argue that it'll do well. But the AI might just be on top of that. But what is the response when you tell people that? So what's the response? Mate, I think people have a lot of very preconceived ideas about this. And it goes back, basically got my point right at the start where we're talking about me not knowing if macro really is... works like it used to, right? And so I think inherently macro people are lazy. You know what, I won't use that as a title for our show, but I'm so tempted. Macro people are lazy. And so, you know, so I had this argument with someone recently who was basically Yeah, by the way, how do you you're the nicest man on you're the nicest man in this industry, right? So you probably don't get people swearing at you. I can't handle social media. There's the dickheads on there is just I Anyway, so this guy was cool. I think you just started off by calling me a fucking idiot. And that's where he started. It went downhill from there. Don't tell the truth. Um, and so, but his favorite was it saying how, you know, there's no ROI in this stuff and the, the, you know, the law firms won't use it and all this sort of stuff. And I said, how many law firms have you spoken to about this? And he says, I don't need to. I just, you know, and there's assumptions about.

all of this. And while I say I have macro people lazy, the way, the only way you get to know what AI is doing is to actually ask companies how they're using it. Right. So we spent a lot of time, spent a lot of time talking to companies about how they're using it. And look, there's a lot of money getting wasted. There's a lot of trial and error. There's a lot of, you know, there's a lot of companies that have no ROI at the moment at all, but I'd see an ROI, but they're still spending and they're still spending and spending because eventually they think that's coming and I'm obviously I think it is as well and so you know the the it really depends on how you've got to be open-minded about this stuff because as I said at the start we've all been trained in it's never different this time right and I think and I think it is and I think and I think it is different this time because of this cognition thing that we've talked about and so It's pretty hard given the dominance of tech in the last 15 plus years, right? That it's pretty hard to convince people that this stuff can underperform. Now, if you ask equity people dedicated and you talk about this free cash flow issue, which is a major problem for valuation for tech firms, massive problem, right? They can buy into this argument, right? But you tend to find that macro people They don't want they don't want to hear stories that cycles may be coming to an end, which is one of the things I say in the book that cycles coming to an end, right? That's an outrageous thing to say. And I get why people say you're an idiot for saying that. But again, again, what is it? What is it with we haven't had a recession in the U.S. in 17 years, right? We haven't had a straight recession in the Netherlands in 30 years, right? X COVID, of course, right? There's something to do that, right? Yeah.

Yeah, I think it's about it's I think it's about our training and mindsets that people have struggling with this a little bit Okay, we're getting towards the end here. What question, you know, if you were interviewing yourself, what question would you have asked that I have missed? What's the question that you need to ask? Yeah, like what have we missed talking about that really we should have focused more time on? I think the Fed is a very interesting part of this. So the relevance of the Fed, right? So we've spent so much time as Warsh has gone through his appointment and, you know, about talking about Fed interference and Fed independence, right? I think the bigger issue is Fed relevance. And so we talked a lot about this cyclical world or the lack of cyclicality in the world. And I believe it's getting worse and I can understand why people don't believe that, right? But I think the thing that is, clear is that if you believe that AI will lead to higher unemployment, there's nothing from a liquidity standpoint that can change that because this is a classic supply side part of the economy. So if it evolves in the standard way that people think it will evolve, AI will be deflationary because there's no wage, there's no wage inflation in a world where unemployment is going up to the extent that I think it could, right? And that unemployment's rising. Well, what's the Fed Pavlovian response to lower inflation and higher and higher and higher unemployment was cut rates. Yeah. And they could well be cutting rates into a decent growth environment, but more to the point.

They could be cutting rates into an environment where equities have record margins. Right. Expensive, relatively, expensive valuations. They could be making everything worse. They could be making everything worse. And so, you know, the adoption of AI is something that monetary policy can't control. And by the way, we've got a lot of evidence in the last 15 years that rate cuts have done nothing to stimulate growth in the US. I'm right. Like I'm a somewhat MMT sympathetic argue, you know, believe I believe fiscal is way more the driver than than than most folks understand. Right. I agree with you. I agree with you. I can't carry. And to me, when I hear when I hear your talk about this unemployment, I'm like, holy smokes, they're going to try to cut grades. But realistically, they're going to have to just spend more money. And then that is actually going to be really weird at this stage because we've spent too much money on us. It is, right? Because one of the things that I do believe is that in the days when we had excess savings, it was easy to say the government should spend more. We no longer have excess savings. The world has changed, right? Like the reality is that Trump has changed it. So all countries around the world are spending more. Deficits are going up everywhere. Capital is going to start competing on a governmental level.

And so you're going to see things like Japan bringing home and stuff. Anyways, that's probably questions for another day. So let's just end with a couple of fun kind of, I'll hit you up. I didn't prepare you for this. Biggest surprise between now and the end of the year that the markets aren't expecting. Biggest surprise to the upside and downside. Biggest surprise to the upside is the continuation of chip revenue growth. Okay. Right, the continuation of that, because it is frothy, frothy metric you could think of. And whilst I don't believe that in the data center overbuild scenario, because I think there's too many bottlenecks in the data center supply chain for there to be overbuilding, right? Right. That would be a surprise if revenue growth continued at that pace.

The downside argument revolves around, well the ultimate downside argument is pretty bland. It's one of the tech firms saying that we are getting stressed because we're heading to negative free cash flow and if the one company does it, it's probably Oracle that would look at something like that. that that is one thing. But the big thing I think my one outlier event for the year is that Chinese LLMs get banned. Get banned? Get banned. Banned. Okay. Banned in the United States. Okay, that seems very plausible. How does the market take that? What happens? I think the market is fine with that because it's the one threat to the hyperscalers have got this wrong. We don't need to spend this money. The Chinese are brilliant. They're doing all this stuff on the cheap. And that's fine. And we can talk about where they're getting their training from that they're actually nicking half of it for Anthropic and all that sort of thing. But the US in the last 10 years has done nothing.

but either ban or for sales of Chinese companies that had a data collection capability in the United States. DJI drones, CTE, Huawei, I think eventually BYD gets banned because you have these cars can collect anything that can collect data at scale has been has been banned, right? And we were told all along that there was a backdoor in Huawei and ZTE, right? And that's why we couldn't use them in 5G. Right. How do we know there's not a backdoor in these open source models? Well, isn't the fact that it's open source? I'm not defending it. I don't know. We don't know. You've still got to download software. You've still got to download these things. I think that that's a really plausible thing. Back to the, what happens if one of these, let's just mention Oracle.

Merkel says, Oh, wow, we really messed up and we have to cut back on spending or one of these companies misses in a big way. Yep. Yep. Like if we have a hiccup, how bad is it going to be? Like, I probably more worried about this than you are between the correlation, the implied correlation lows and the cheap fix and the speculation, the double and triple levered ETFs. I think there's more speculation going on in this than everyone will wants to believe and that if we do get a miss it could hurt in a big way you could be absolutely right about the fundamentals and then in terms of the fundamentals as we all know deviate from prices all the time All the time and again, but the more I've written a book that goes 10 years forward, right? There's there's there's ebbs and flows within that now again. This is not in my post my post cyclical world, you know the noise to signal ratio of downturns is heavily skewed away towards noise, right? Because in prior cycles, you didn't, you know, if you had a sell-off, it tend to be a precursor to an earnings downturn, that doesn't happen. Seven of the last eight, seven of the last eight, 10 to 20% corrections in the US have led to no change, to no meaningful change in earnings growth. Can I ask you a question about this in terms of the earnings bubble?

I saw the other day I was, I clipped the guys from excess returns. They had a terrific interview with Ben Incler, Incler from GMO. And he argued, yeah, and he argued that we potentially could be in an earnings bubble. And one of the things that we need to think about is that when a company like Microsoft or Amazon or Meta goes and builds or promises to build like one of these big huge data centers, they are immediately like they're spending or they're promising to spend today and or they are spending today. And then they're depreciating it over for the next five to seven years or whatever it is. So the market's assuming a certain amount of earnings over that period. So earnings are going up because they're spending.

And at the same time, they're buying chips today. And they're buying chips at inflated rates, like we all know, who has a micron or somebody has 85% margins. So the reality is that not only do we get the spender to have increased earnings, but we also get the receiver of the spender to get increased earnings. So as we've gotten this huge push into the largest infrastructure spend ever, We've had this massive, you know, increase in earnings. And that's great as long as A, the microns of the world can continue, you know, having 85% margins and continue spending, you know, selling that many chips. And B, that the assumptions about how much the Microsofts and the hyperscalers are going to be able to rent out their compute for actually live up to expectations. And so to me, it doesn't seem like it would take very much for us to have a moment where we go, Hey, wait, maybe we've overstated this. And although nobody knows why the dot com bubble burst, one of the theories was that Gardner just said there was a report in early 2000 that said the internet instead of a growing at like Doubling every you know 180 days. It was only doubling every 270 days and that was all that it took and so my worry Yeah, and then look at the end of the day. You don't you don't know what tends to What tends to hit something it's something innocuous. You know something it was just random and just it takes the right so there's no there's no denying that there is massive excess in the system right and so It's all about it's all about expectations And so the expectations are very, very, very elevated at the moment in terms of growth rates. So in the space of writing this book, expectations from for data centers spending from the four big hyperscalers went from six hundred and twenty five billion dollars to seven hundred and fifty billion dollars because every time it changed I had to go in and search through all the little bits in the book and find that chance. And I did it five times right because it just every month something just went up and up. And so expectations are incredibly lofty. We know that this is the most over I don't want to use the word overexposed, but I'll say the most broadly distributed investment narrative that I've ever seen, everybody's got it somewhere, right? It's embedded in indices because of high, because of high concentration. It's embedded in leverage ETFs as you've implied, it's everywhere, right? And so the only look there's an earnings downgrade or a miss or something like that.

is if it goes wrong, it's 20% plus, it's 20%. I can see that. More than that would require a policy issue, regulatory issue. You can easily, in that 20% downturn, you can see a core weave or something like that have a legitimate liquidity condition problem. You can see Oracle. have a legitimate problem, right? And so I'm not saying this is 1999 through 2001 with world calm and that sort of thing, right? Because at the end of the day, the major hyperscalers are still very under leveraged businesses. Are we confident of that though with all the SPVs? I think, well, put it, well, I've had this debate before. So people say, well, you've got to include rents and stuff like that in the mix. All right. Okay. We do that. We have to rent. We have to do the rents on every JP Morgan bank branch. Right. And so you've got it. You've got to think about these things. And I didn't worry about SPVs. Like to me, you know, maybe it's just a fact of my 55 year old self, but like every time there was an SPV, it's because you don't want to, you want to hide something.

Right? Like the whole purpose of an SPV is to hide something. Well, listen, we can go on forever, but I folks, you got to go grab the book. And by the way, this is Paul's own book. He's gone and put his heart and soul into this. It is 10. I implore you all to go and support our good friend, Paul Craig, growth without you. How AI rewires work, wealth and investing. You can go on to Amazon, go into your bookstores everywhere except Northeastern University because it's sold out there. And I'm going to leave you with actually, Paul, I'm going to read the last sentence. Is that okay? I know I'm giving away the ending. It's capital has won. The challenge now is to own enough of it to survive the transition and to remember that compounding only works in a society stable enough to sustain it.

Why don't you just tell me why you chose to end with those sentences and And if there's any word if you have a website or anything Well, I just feel free to run everything through sub stack view from the picket sub stack But Kev I chose to end that way because you know at the end of days a bit. There's very much a human cost to all of this, right? And it's Very personal for me because I've got a you know a 19 year old son whose he and his mates are stressed about their job prospects And that's 19 year olds at college shouldn't be stressed about their job prospects Right. And so, you know, the the idea about this is, you know, the US system in particular doesn't have a good history of being able to look after people who are fallen through the cracks. And, you know, we've got a US Congress that couldn't can't regulate social media. How do you think they're going to go at regulating artificial intelligence?

Do we have to talk about universal basic income? How do you, you know, if people can't get jobs, how do you fix them? And at the end of the day, you know, this is a white suburban problem, right? This, because it's the suburbs of Atlanta and Chicago and, and, and, you know, it's Greenwich, Connecticut, because it's white collar jobs that are going to be displaced. And you're only as, you're only as good as the system you support. And, you know, the US economy is not designed for 10% structural unemployment. Right. And so there's got to be a lot of changes about how we tax, how we tax and the like. And it doesn't necessarily mean more taxation, but it's just got to distributed correctly. Because if you don't, you know, thriving markets only work if you've got a foundation of a strong government, strong legal system, strong society, you know, all the stuff that we do day to day in terms of markets goes to shit if there's no, if there's no social cohesion there.

So folks go pick it up lots of great stuff in there. There's actually a whole section on the 60 40 portfolio how to make how to kind of create a portfolio that'll survive this that we didn't even get to Paul. Thank you very much for your time. Always always great chatting with you. Thank you mate and for everyone and for everyone on behalf of everybody who listens to your show every week. You are a breath of fresh air. We all love you. You've got so many fans and Right. Thank you. Oh, that's very kind of you to say. Thanks a lot, everyone. Take care. All right, Patrick. Thank you for taking time out of the campfire or the campfire edition. Oh, come on. Stop it. Don't don't say that. Just go get to the charts. OK, let's get to it. What are you? All right. So listen, let's start off with these inflation numbers. And what we have here is a big miss on the inflate. Well, I wouldn't say missed, but the numbers came in below estimates at minus 40 basis points. But it really is a testament to how much this was an oil supply shock versus real genuine monetary inflation. It's the moment we go through a multi-month drop in oil, suddenly the inflation's coming in much lower than expected, right? And so it really, to me, was just the collaborating evidence that this was, in fact, supply shock inflation.

I think that that was the majority of it. You're absolutely correct. But you could also argue that the tariff effect was weaning. That was happening. I actually also believe the economy might be weaker than folks believe. And that this is what we're seeing in terms of kind of surprises to the downside and inflation that demand isn't as high. But you're right. And you're highlighting the fact that it was a big, huge miss. or at least versus forecast. I plotted that, by the way, just to kind of get a feel for it. It's been a long time since we missed by 4, you know, 0.4. That was a huge, huge thing. I think it was 2008. Oh, was there one in 2020? Okay. Yeah. COVID messed it all up or whatever. But yeah. And then yeah, you have to go back to 2015. There was There was a period where we saw these kind of big misses like that as well. Which one are you looking at? Is that CPI or PPI? No, this is month over month CPI. Yeah, because I thought I did it, but I thought it was... Anyways, we're getting some... Maybe were you looking year over year or month over month? No, I thought it was... Oh, maybe I was doing year over year and that was the difference. Yeah, yeah.

That's probably what what it was. Anyways, let's let's let's dive into the charts and really talk about some what's just happening here in general about the in the markets and how they're absorbing it. Well, first thing Kevin, it's really interesting is just how it's clear that the S&P is no longer sensitive to the straight or Hormuz headlines. It really has moved to being, obviously, the AI story, semiconductors, earnings, everything but what the next Trump tweet is. I remember when we go back to when things were back in March, everyone was literally hinging on every single one of Trump's tweets and the market was responsive to it. We've literally, during this entire... Reescalation window have seen some of the tightest price action that we've seen in all year. Yeah, like literally they're all inside days. Like it's like the stock market stop giving a shit.

And really the question then becomes, Kev, what will ultimately then be the catalyst that the market is moving for its next move, either higher or lower? I know we have biases, but clearly the re-escalation of the situation is, but maybe it's just that oil hasn't gotten high enough. for the market to care. Like maybe if we would need to see oil in 90 or 100 range, and then the stock market will have a response mechanism, maybe it's just a move back towards 80 is just not yet in the models like something that is disruptive, right? Can I just throw in my two cents is that geopolitics always matters way less than folks believe, right? There was a time when we would sit around and talk about the Russia invading Ukraine. And the market was very concerned about it. And there was a lot, there was a month or two when that's all that mattered. And then eventually the market realizes, you know, it adapts to the new reality. And if you look at that war, that war's been going on for what, four years now, right? And it doesn't change, it doesn't affect the day to day S&P. Now granted, there could be something, you know, if all of a sudden that escalates in a really negative way, then maybe that does, you know, come back into it. But I would argue that geopolitics are often just priced into it. And as long as this just ends up being a regional conflict between the US and Iran, should it really, you know, is it going to derail the US economy? No. So therefore, I'll push back on that. If oil goes high enough. Okay. But the market is now comfortable that oil isn't going to go high enough. Again, look, I was looking at the Bank of America Fund Manager survey the other day, and it was like the majority of participants now think oil is no big deal. We can argue about whether that's correct or not, but yes. And that's what I'm saying is the market has accepted. And whether it's correct or not, we could discuss.

But it is accepted that this is just a regional conflict and it doesn't matter as much as we used to worry about. So absent a real spike to 200 in oil, I don't think the market's going to care. And it's going to be more shit in earnings than they are about the Strait of Hermos. So okay, so let's let's talk about the S&P in general though and and more importantly the things that are driving it right now So clearly the we'll talk oil in a moment. We can discuss all of the Geopolitics what I wanted to start with is just highlighting that often at the end of major market moves If this is transitioning to a topping formation there are periods where can be for prolonged periods where the market just struggles along its highs. Using just the most recent topping formation that occurred throughout the start of the year, I want to just highlight just how long this took from the peak high back in late October. It really took the market all the way until March.

To start breaking down. It was like 125 days. I'm gonna round it a hundred Let's just or even say like 120 days so that way it took four months in order for the market to really get heavy enough to roll over and And this is where I know that you were talking in the past about that it's a here-and-now thing But looking here. We're only 44 days off of the peak price And if this is a broader topping formation, just using that, this could last all summer in a meat grinder. And so that's plausible scenario number one. We just meet grind sideways for, and then it's a September, October story, right? But the one thing to watch for sure is what happens here in the semiconductors. And this is where we have to go straight to one of the centerpiece places, and that's the Cosby.

and the South Korean index, which is already 30% off of its highs and already spending five, six days below its 50-day moving average, all rallies are failing and it's in full distribution mode on the downside. And obviously SK Heineck's leading to the ADR issuance on the US side, taking advantage of its heightened price level to do that issuance. Um, you know, like the Cosby to me is the first warning sign. Do you have anything you want to add on Cosby before we go to the semis? No, I'm with you. I think it's, it's a bubble that's bursting in essence. It's bursting. So it's like silver. So it gets silver in January 20. Yeah. So one of the things me and you talked about was that the semiconductors were, uh, going to that the Cosby was in many ways a sentiment of when the AI.

you know, money flows thing could pivot. And what's interesting is that the semiconductors more or less have been selling over the same window. The difference here is they held up much better than the Cosby. But today while we're recording this a little bit beforehand, but we're actually doing this Thursday afternoon, you are having the first attempt for the semis to close below their 50 day moving average. Well, that's not like a magic thing. I'm not like one of these people that the moving average means something huge. But it is the arbiter of trend that's been defining this bull market till now. And all and this 570 area more or less on semis on the SMH has been more or less the kind of highs and lows support line pivot. And so if the semis break down really below this level, that really may have ushered in the beginning of a semiconductor cell cycle. And what's interesting is the semis have clearly already started to deteriorate. Cosby has deteriorated. And the one thing we even talked about in this episode just a couple weeks ago was that, you know, can the MAG-7s and hyperscalers kind of take the baton and keep the market cap weighted names going to kind of offset the impact that the semis would have on this market cap weighted index. And I think that the S&P is in many ways very trade range bound because as these semis are settling this way, the apples of the world are ripping to fresh new highs. You're literally seeing that money rotating into other areas that are these big, huge market cap behemoths that are able to create the counterbalance to keep these market cap weighted indices in a much more balanced positioning. Because if we had a scenario where the mags were selling the same time as the semis, I'm not sure what part of the market cap weighted index would have to be offsetting for the S&P not to be selling. Yeah. Do you have any insights on that? No, I, well, I have this thing I make for my letters called Watch Your Bids and it's, I clip different, different interviews. And recently I clipped, I think it was Lisa Chalet from Morgan Stanley, the CIO there. And she was talking about how she was rotating, selling the semis, selling the memory stocks and buying the hyperscaler slash mag sevens because they were so cheap.

And I think what you're experiencing, what you're seeing right now is that is occurring across the board. Big money managers are doing that. The real question is, once that rotation, you know, pauses or gets filled, will the mag seven sag as well? And then will the semis keep going? And that's what I'm worried about. Like the initial stages of the semiconductor correction. Ends up being okay for the market because the reality is that they they sell those and they quickly go buy mag 7s and send them up But if the mag 7s start to get sold like if tech just becomes something a source of funds then watch out because there'll be no bids out there So so my my narrative that I've been sharing a big picture trading is basically that is that look the only if the semi sell the only thing that will keep the S&P 500 afloat is going to be It is that the mag sevens keep it going and right now it's working You can see here. This is the mag sevens ETF. You see it breaking higher It's right that rotation is clearly here and and on the short term It's here and that may be enough to keep this market boring as hell for the rest of July And we'll see, like, for instance, we are in the midst of earnings season. You can see the financials held up. We had JP Morgan, City and Bank of America all come up to bat. And generally, you know, they started a little weak and almost immediately just went ripping higher. Like you can see on the earnings, JP Morgan goes gapping down to, you know, a lower low and immediately bought on dip ripping it.

52-week highs. And so right now, the banks are working. The other thing to highlight here, the industrials, the XLI, that broke to 52-week highs. This is like a flagging formation. Will industrials join the party? Will we see the higher beta names keep this going? Or is there going to be a a big rotation into the defensives. Now the health cares have been a big winner and they continue. Look at this breakout today. in the healthcare um flagging formation on the upside like we could have this at 170 175 on the upside the the health cares and the biotechs just on fire um the biotechs not turning up the same with the x the healthcare basket did but definitely uh we're seeing substantial bull advances now really in this healthcare and the bigger question for me is that will we You see that rotation happen where utility stocks really break out back to their highs. Will we see consumer staple names?

break these multi month trade ranges to the upside. Will this kind of defensive sectors take some of this money flow or is it all mag sevens going to do the lifting? Any any insights you want to add on any of that? No, I don't have any insights. But I do you mentioned the earnings. And I would argue that we're very early. And a lot of this is still to come out and to play. And yes, of course, the banks have been terrific. But a lot of that has been underwriting because of the buoyant stock and bond market and the huge amount of issuance. So to me, the earnings picture is still up in the air. I'm not going to say that everything is okay yet. It could be. I will push back and say that the expectation for earnings is quite high. I would be really shocked if we're able to meet those expectations like we usually do. And one of the things that I think is interesting is that we've seen more and more, Patrick, is usually we get this decline into the actual earnings of expectations, meaning they walk down numbers. So you'll see it actually that the numbers walk down. Last month that didn't happen, or last quarter, I'm sorry, this didn't happen. Yet the earnings were high enough. Same deal here.

there's a huge amount of just good news expected. So it's going to take extremely good earnings news for us to actually keep this market afloat. So I still think that the surprise will be not that the earnings are bad, but that the reaction expectations are met. Yeah. And that's, well, that wasn't the case in banks. So but it'll be, but it'll be interesting because the mag like we were going to have the one to in my mind to watch as Google. We got on Wednesday of next week But I might argue on the banks Patrick that they're not something everyone owns It's not a story that everyone's like oh things are so great. I got to own banks, right? They in fact almost nobody owns banks in terms of tell me the last time you you know Turn on a podcast and people are like you got to own US banks. You don't hear that The the point though I wanted to just highlight here with Google though is okay Google's gonna come out almost a week before the majority of the other mags Okay, and so what what that's gonna be really interesting like in many ways Google was like the centerpiece stock of all of this until they started doing their huge issuance And I think that what Google says may actually be a nice window into what to expect on the rest of the hyperscalers. And so watching Google's earnings next week is a big one. The other one that's worth mentioning is this vicious decline in IBM. Oh, yeah. And that was a free announcement. We haven't seen those in ages, Patrick. Yes. Tell me the last time we got something a big stock pre-announcing.

People almost forget what they are. Yeah, and and there was a pre-announce and it was a vicious one and it broke it broke it to multi-year lows like when you have to go all the way back to 2024 to see price levels like this And it was a huge percentage gap I think one of the largest in IBM's history like I think it was back to like the it was larger than the 20 27 days It was like the you needed to go back to the nifty 50 days to see a decline of a single day. 25% lost a quote. Yeah, quote a quote over to market value gone in in one one day. And so it was a bad day for IBM investors. But the question is, is that is there is IBM really telling you a story?

about what to expect on a lot of the other, because Mag7 is the big hyperscalers. It might not be as big disappointments, but there's a whole lot of these periphery companies that had some pretty lofty expectations embedded in them. And the question is that, you know, maybe the generals don't get shot in this earning cycle, but you start seeing a lot of the army going down and getting mowed down. And the and the breath of the of the market really deteriorates like that. That is also a plausible scenario. All right, let's keep going. Or so let's talk crude oil. And so crude. gets a bounce back towards 50-day, a little bit surprised actually that it wasn't a more pronounced bounce. But I don't think that changes anything. I'm in your camp because I mean, at least unless you've changed your view, but I actually don't see any reason why we can't create a full-on 50% retracement even of the entire drop which is back to like the 90 to 100 dollar window on crude you know like I'm not sure I want to go into the camp where we could see 120 to 150 oil I mean there's still people out there that are talking that but you know for us to say that oil somehow belong down at 68 or 70 dollars I'm not in that camp I the fair value of oil in these kind of conditions is probably somewhere far more Uh, in in that range and I wouldn't be shocked if we saw another 10 rise in oil in the weeks to come. Uh, do you have any, uh, comments you want to make? I, I still think that the crazy numbers to the upside are, are on the table. They are on the table. I wouldn't go in. Yeah. I wouldn't go and start talking about the surety of it. Like we did in the past, like the Jeff Rubens, the, you know, got out there and the end of molecules and stuff, but I still contend that the SPRs were emptied.

That was the big surprise. It caught the market off guard. Eventually, we're going to run out of them. And not only that, on the other side, we're going to have to refill them. And so just like the surprise was to the downside from the SPR, I think the surprise will be to the upside from the SPR. Yeah. So I want to go to our website on thecottsignal.com and look at crude oil positioning. Of course. And folks, go check it out. caughtsignals.com. It is free. You don't need, there's no sales job. If you want to go and see what's going on in terms of the CFTC, in terms of the positioning in various futures, go. It's a terrific site. Thank you very much for the plug, Kev. So, uh, the, um, what we talked about this last week about how it was surprising that we didn't see, uh, the large specs washed out. And one of the things we both agreed upon was it's probably going to be it was just we were looking at back in late June numbers and not in early July numbers and you can see after that that kind of last washout that we got down to the 19th percentile in terms of one-year look back in terms of positioning but if you look at the net positions as a function of open interest that chart on the right hand side here kept what's interesting is we almost got to levels that we were at pre-war in terms of net positioning. And to me, the idea that we would go to levels at or lower than pre-war would have been a surprise. So I wouldn't imagine this getting to under-roamed where we went down in the zero percentile, which happened.

on different commodities. I just didn't think it'd happen on oil because that would just not be warranted in the circumstance. But the fact that we literally are trading at the pre-war levels shows you that all the long speculators that we're speculating on the straight-over moves got washed out. Yeah. Patrick, you say that the pre-war levels, like they were like some sort of neutral level, that wasn't neutral. People were super bearish oil back then. Right? And so to me, we are back to the pessimistic people short oil kind of positioning. And that's what we're getting. Like go back to even the 2020-21 period. You know, I mean, we did that was like peak bearishness in the when oil was abundance and COVID was throwing all this extra inventory on the system.

And you know, I mean we're not down at that zero percentile like it's we what got washed out like this was forced flows large specs got the one of the most spectacular squeezings and And got washed out and so to me there is lots of room for large specs to Rebuild their positions and this is why I don't I think there's more upside As this straight over moves, like when you're looking at the three, two, one crack spreads and even here, I just have the Brent crack readily available. We'll just quickly have a quick peek at this one on a line chart. But what I want to simply highlight, like we are at, you know, crazy high levels in terms of these crack spreads.

which which is basically showing just the margins are blowing out gasoline diesel everything's ripping you know and so oil naturally can go much higher from here and and the enthusiasm for people to trade it is not that not that high yeah and I would contend Patrick that the part of the problem is that Trump keeps tweeting stuff to try to talk down the price of it yeah and everybody's Okay, and that's fine. If you actually have a market that's headed lower, that's fine. The real problem now is if there is an escalation or if we do run out of oil, there is going to be no natural long position to sell into it. There's no speculators long. So if we get a situation where price starts rising because of actual physical demand and supply, there's no cushion.

Right. It's kind of like a stock when you say on the upside, right? If you don't allow shorting, it means that when the stock turns, there's no natural buy or not natural. There's no buyers or there's less buyers than if there were shorts because the shorts cushion the decline. And to me, that's what we're getting in reverse and oil. And so I, I think it's a more dangerous situation than, than people realize. And sorry, go ahead. No, no. And you know, listen, I agree. And you know what's amazing to me, Kev, is that that right tail skew in the options market is so prevalent still. And one of the things that we keep doing at Big Picture Trading is constructing bull call spreads that have these spectacular payoff structures because of that right tail skew. And I think that it's the right way because everyone's nervous that, oh, well, when Trump tweeted me back to 70, and I'm going to take a 10 haircut on oil, well, you don't have to delta 1 this thing.

you know, there are a lot of really amazing option strategies that you can put on on crude here that'll give you that right tail upside and you can do so with great payoff structures. All right, what do you got next? So I want to talk precious metals and it's ugly. You know, you can tell me all you want about You know central banks around the world are still buying kind of argument But this is nothing short of outright distributive price action every rally immediately met with supply It's it's a market that continues to You know be setting up for a potential breakdown move and you know one of the interesting things and we talk about the the bubble chart on semiconductors. But when you really look at what gold did on a monthly chart here, it's not exactly a crazy thing for us to have some sort of backfilling reversion on there. Now, I'm not trying to be a bear. All I'm just trying to do is acknowledge that we went through a pretty super bullish event that had sentiment be completely lopsided, positioning was completely lopsided. And for us to go through a hangover period where gold mean reverts back to a place where it can find a fair value zone and settle in, I think it's still underway. The interesting thing is we're at the round 4,000 number, which is always interesting when you're at round numbers, but the 50% retracement of that monthly chart um uh numbers 3600 and so if we gave back half of the uh the bull run it's another 400 dollar downside at me though it's still asymmetric so like I don't want to be overly bearish we are 1600 dollars off the high and the 50 percent retracement is 400 dollars lower so I mean at this moment it's not like you want to start a new shorting thing on gold because it's about to break. You know, to me, at some point, the buy zone is going to come in here. But what if this, you know, like right now, real yields continue to rise, you continue to see the dollar pressuring to the upside even though the last couple of weeks has been in consolidation. You know, this could be a period where the summer could be still very difficult for gold investors. You want to add anything to that?

Nothing. I listen, chart looks terrible. It feels like it wants to whoosh down to your level. That's all I could say. And I, you know, what do I know about reading charts? But it definitely, you know, it's tough to look at that and go, Oh, this is great. Right. Like, you know, what's our rule? There's no such thing as a triple bottom. It's trying to triple bottom there. It doesn't feel like it wants to do that. I do think the, what do you call it? Your turtle head? Yeah. I could see like I could see a whoosh down a 200 whoosh down that actually then gets immediately bought right like that the bank of People's Bank of China is just there ready to buy it. So I'm not so it feels terrible though. So go back to the caught chart here.

caughtsignal.com, baby. There you go. But look at the large specs, but look at that chart of the net positions as a function of open interest. And tell me that the large specs have been washed out, Kev. They're not. So we need it. So it's coming, right? Yeah. And and do you really think it just a 200 swoosh is going to wash these guys out? I think that that's a pretty big level. I suspect that you will see some panic. It breaks there. Watch. All of a sudden, everyone talk about how gold's going to 3000. Like you're sitting there saying I'm going to buy it down 400, but most people won't. Well, you know what? All I want is there to be the right macro backdrop and the technicals to start showing.

that accumulation cycle has begun. And so if we see real yields peak, we have central banks pivoting to more of a dovish positioning, which could still be many months, if not quarters away from them pivoting. You know, we need to see some form of potential dollar weakness, all these kind of macro conditions that typically are really good gold tailwinds. And they're not here. They're not present. which it means to me, I'm going to start with the thing that it's going to be a difficult summer. And then we'll reassess it at the end of the summer to see where we stand. Again, what's interesting, Kev, is that you have, again, a right-tail skew in gold, which makes coloring in your gold positions actually have a positive carry. So you could turn around and just go even one month out.

wrap in your gold positioning to tighten up a little bit of a hedge to dampen volatility. And you can do it with a positive carry. Like to me, at least dampening some of your gold positioning, if one wants to hold through this, at least it pays. It pays. I'm scared of all these right tail skews that you're selling, like oil as well. I'm scared of that. I hear what you're saying. You're not really selling them because you're long. Yeah, the money or your long the underline. It's an option structure. Yeah. But to me, the reason these right tails are so expensive because the right tails up real risk. Yeah. Right. I'm not I'm not as keen on that. So but I do think Patrick, here's a real question for you. Gold SMP like gold over the SMP. What do you think it does over the next summer? I didn't even look at it.

And so I would be just making some shit up if I told you. But Patrick, that's that's that's our stick. So, okay, if I was to say like, look, over the summer, I don't I actually think gold can weaken relative to the S&P. But there is going to be a point where the S&P is going to wash out. Like, you know, going back to S&P, like the CTA sell triggers are, you know, closing in on 7400 based on Goldman Sachs's recent stuff still below there. But there's going to be a point where the systematic cell triggers are going to get kicked in. Right now, the S&P has zero risk of it the way it's trading in this little tight range on the short term. But we're going to get a point where we're going to have a little washout on the S&P. But there's just zero evidence that it's starting right now. So I jump in here because I actually have a view on this. I think that gold might lead the S&P down.

So at first it'll be a whoosh lower in gold if this were to occur. And that would be based on tighter conditions like liquidity tightening up. And then what I think will happen is that the S&P will follow gold lower. And I am so scared, Patrick, about like you go look at the implied correlations in the S&P. That's the one year implied S&P correlation is trading at like 12. There are it's just screaming that there is so much danger out there. There's so much complacency I think the admin of all these like double and triple ETFs the amount of speculation So I could see a situation where gold is the like the thing that drags the, it won't be the gold drags the stock market down, but gold will go down first. It'll be more sensitive. It's more, it's weaker. And then what'll happen is the spools will follow it lower. And then, and gold will be the first to turn up the moment the, um, uh, the Fed has to pivot.

Right. And so to me, I think that if we did get a big move down in gold, like, let's say we just got a quick 200, 300 move down. I think you buy gold sell spools at that time with both fists. Okay. You know, the, um, uh, now while I don't believe that gold, uh, has, uh, uh, you know, to drop below 3,600 or anything, but I, I have a little more concern that silver can Eiffel Tower. And you know, maybe gold has a bigger floor, but the kind of high volatility embedded in silver, I wouldn't be shocked if silver took a trip that was down into the 40s before it bangs out its lows. And so maybe the volatility is going to be in some of these sub areas.

We won't disagree there. All right, so the I wanted to briefly touch on some of the Commodities outside of that particularly I want to start with wheat and Wheat is attempting to break to a 52-week high And when I want when you really step back on a weekly chart and look at what we went through I mean it peaked out during Ukraine the start of the war. And it's been a vicious three-year decline. And suddenly you have the grain markets transition into this, whether it's weather patterns and whether fertilizer shortages, because of the Strait or Hermes, there's obviously a number of people out there talking about, you know, that we may have, you know, pressure on food prices going. You know, it looks on the daily chart like wheat has already moved a lot.

But when you look on the weekly chart, and you look at what wheat has done before 2020-21, before the war even started, there's lots of room for wheat to even get to the 800,000 level here on this chart. I think there, this could be a legit breakout. Now the corn and soybeans, I mean, if not yet, like soybean maybe more than corn, but you're starting to see these turn up. I think the ag's are at least showing signs of bullishness that we are not seeing in a lot of these other commodity spaces. I couldn't agree more, Patrick. And the other thing is you're talking about wheat on a big picture point of view, how it's relatively cheap and it's done, you know, it's been a lot higher, put it on an inflation adjusted basis. And it just becomes like, it's like.

So being given away. Yeah. Now granted, it's we become much more efficient at farming. I understand all the reasons why it's cheaper. But I will say that the potential of something goes wrong if there's some weather or if there's some fertilizer, like I think you're absolutely right that don't underestimate how much we could go. By the way, if you're looking to play this, one of the ways are you pulling up the DBA right now? Sure. I was looking at the mood, but the DBA we can start with. The DBA is the agricultural fund ETF. Yeah. Yeah, so and it's actually it's behaving well Yeah, the the the other one though the mood that I was just hide up here is just the ag business stocks, right? So this isn't any of the actual grains, right? So you're not actually long the commodity you're long the come along this year You're long basically fertilizer in these kind of things, right?

But the point is, is that they have just come and woken up. It might be in the early stages of turning up. So it'll be really interesting to see whether these eggs really get going. But I want to briefly touch on a lot of the other sops that we don't talk about very often. I want to actually particularly talk about coffee and cocoa. and maybe we can touch on orange juice, but let's just get to coffee. Absolutely. No, no, but actually it's a really interesting story. Now, first of all, when you look at on our kind of barometer, we're at the 51% level right in the dead center when looking at coffee and it doesn't look like an extreme, but One has to reflect on that net positioning and recognize that we haven't really seen longs starting to meaningfully rebuild exposure after what's been a very difficult one year period in the coffee markets. And what's interesting is that like, okay, so you look here on the net positioning score here, I mean, we spent a one year in coffee.

basically bouncing off persistently the low end range of net positioning, right? And so when we look at the actual chart on coffee futures, you saw basically the big washout on the downside. And then when everything pivoted, a combination of El Nino and the Brazilian crop reports that were coming out, we had a huge breakout on coffee. Now a little bit is being given back right here. But like I was saying, there hasn't been a rebuild of speculative long positioning at all. And this thing, I think decisively exited its bear market phase. And I'm very curious to see whether coffee starts being bought on dip here and whether or not coffee is is is meaningfully turning. We're watching coffee. What about OJ? Well, first, let's go to Coco.

Let's get to talking some chocolate. Now, again, we're not on the zero percentile of positioning because we're already off of the lowest levels. But look at the five year chart of net positions as a function of open interest. We are literally at five year lows of positioning in here. Like the the longs have not only been washed out, but the longs have actually been net short. This is just a complete washed out market and it's just starting to turn. And so here when we have just a peek on what is actually happening here, you can observe that we went through this like a two, three year bear market phase. Let me start with the weekly chart and really just show how the cocoa market went through this vicious decline on the downside for almost a year and a half. And we're just seeing this market turning around. And again, it's pulling back You've already seen dips being bought back in May and June. And yet the long specs have not started rebuilding those positions. They're still actually net short on their positioning. And so I'm very curious here whether or not we're going to continue to see some squeezing and rebuilding of large spec positioning in the chocolate market here. And then the last one I want to talk about is OJ.

And orange juice is at the 68th percentile kind of zone. And generally, you saw us back in the start of the year actually have large specs in a net short positioning. And it's actually turned higher. Recently, it's been pulling back a little bit. But the question here is on OJs, are we actually seeing... Hold on, just pull it up right over here. So, you know, like we are literally trading at the lows of OJ futures. And it looks like it's actually gonna break to fresh new lows. It seems very odd to see this kind of caught positioning at a time when the chart looks like death. It really does. It reminds me of the gold chart. It just looks like it wants to break. And so it looks like it wants to break. And yet, you know, we saw this where the long specs really rebuilt at the first part of the year, and they're still generally long. And yet the chart is not collaborating.

And I just thought it was super interesting that we're seeing this kind of a divergence, you know, and maybe some trading places or their kind of trade on OJ short might be an interesting position because there's there's room for them this to still break on the downside here. Yeah. Well, we're going to call you Mortimer from now on. Or Juke. Yeah, Mortimer Juke. Is that his name? Yes. Yeah, we're the Duke and Duke. Yeah. All right, buddy. That's all I've got. That's all you got. Okay. That's all I got. I got we're going to wrap it up and we'll go from. Well, listen, folks, thanks for tuning in bear marker bull marker. We're just happy you guys have spent some time with us. Patrick, we're going to find out more about your firm and your terrific church. Listen, you could you could check me out the trades I'm putting on at BigBitcherTrain.com. But listen, we were talking a lot about these caught reports. Go to caughtsignal.com completely free, no strings attached. Just go and see what we're talking about here on the show and see how the net positioning has been building on these commemorative trader reports. You know, we wanted to really decode everything and really show a very illustrative way of understanding how everyone is positioned in the markets. And You know what? I'm proud of the way the site is turned down. So check it out and enjoy it. All right, everyone. Thanks for tuning in. We'll see you next week. You know what? You want to go to your campfire? We got no beer to review. No beer to review, buddy. No beer to review. So we'll just call it a day. We'll see everyone next week.

Absolutely. Well, listen, you know what? I just want to make one thing. I am in Italy right now, but I'm making my way back to Spain. And I'm going to be in Spain during Sunday's final. And so I'll have to send you some footage of the parties if they prevail. That would be epic. I think it's going to be pretty... Who do you like? Obviously, you're going to like your rooting for Spain? Look, I'm going to be in Argentina October. And you know what's funny is an interesting story is... back in when the last World Cup when Argentina won I actually landed in Argentina the day they won and I had to go to my hotel by the I had to go to the my hotel by the obelisk while there's five million fans on the street so I actually have some really fond memories of Argentina and the World Cup last time, while I'm now going to be in Spain. I know I shouldn't say Patrick because it's very clear to me that Spain's going to win now. And, but if it's not, you know, I'll be in Argentina, October. So I'm going to Patrick, it's going to be, it's going to be Spain. And no, it's going to be Spain because you're in Spain. You just, we have to just, we just have to know your schedule and then we could bet on it. 2022.

I was in Spain and, uh, and Sevilla and Sevilla, uh, during the Euro cup when Spain won. So I was there for the Euro. This, this is a trend. I literally am boots on the ground that know that I am going to be in Spain on site. I got to go. I got to go change my market. I, uh, in my tourist trap because now that I know that you're going to be there anyways, have a great week. I've met selectable steams and we'll see everyone later.